Unimportant Contests? Why Government Parties Lose Votes in Local Elections

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Abstract

We challenge the view that government parties lose votes in local elections because they are unimportant to both politicians in national government and voters. Lack of interest by government means low investment in these contests; lack of interest by voters means voting expressively for small parties, which harms government parties. These claims are causally assessed with the help of a large dataset of country- and locality-level election results from European countries. We find that government parties lose votes in local elections because their popularity continues to dwindle as they disappoint the public, rather than because of low interest. This loss is mitigated in localities where local councils are politically aligned with the government, as the government's efforts work. Similarly, the gains by small parties follow from strategic voting, as they happen primarily in localities where voters expect small parties to do well in local elections and poorly in national elections.

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1 Introduction

What factors determine the performance of government parties in local elections? This is the motivating question of the paper and is driven by the common expectation in the media and the scholarly literature that government parties perform worse in local contests than in national ones. In the media the results of local elections are often portrayed as doomsday warnings for what awaits the government parties in the upcoming national contests.[1] In the scholarly work the vote loss is regarded as normal, and a consequence of local elections being less important in the eyes of both national politicians and voters (Heath et al. 1999; Ervik 2012; Delgado 2007; Rallings and Thrasher 2005).

Thus, for government leaders the results of local elections are to some extent a calculated loss, as they prefer to save political capital for the elections that matter, the national ones. This calculated loss should be present in all non-national elections, and translates empirically into a curvilinear interaction with time, with government parties losing the most in non-national contests that are placed in the middle of the national electoral cycle (see Miller and Mackie 1973; Tufte 1975). Not only national politicians, but also voters should care less about the local contests, and as such, should vote with their hearts instead of strategically. This expressive, unstrategic voting benefits small parties that are more likely to suffer from wasted vote calculations in the national elections. Since government parties tend to be big, they likely suffer from this expressive voting, thus adding to their poor performance in local elections. Explaining the poor performance of government parties in local elections through lack of interest by both national politicians and voters originates in the Second Order Election tradition (Reif and Schmitt 1980).

This paper proposes a different view of local elections and the performance of government parties that emphasises rationality and interest in the behaviour of both national

[1] See for instance a BBC interpretation of the Socialist loss in the 2014 local elections in France (https://www.bbc.com/news/world-europe-26807739).

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politicians and voters. We challenge the view that the government parties' losses are primarily reflective of their lack of interest and effort, and argue that the government parties should be invested in local contests because aligned local leaders are great assets in the upcoming national elections, in a way that officials elected in other non-national elections are not. We argue that government parties should lose votes in local elections, as claimed in the literature, but not because politicians in government pay less attention, but because government parties lose popularity after being in government. As such, the loss incurred in the local elections should be no different from the loss incurred if national elections took place simultaneously. Similarly, we argue that there should be a transfer of votes from large to small parties between national and local elections, but this transfer is not reflective of uninterested voters who vote with their hearts, but rather of strategic behaviour. Small parties that fare poorly in national elections can still be popular in individual localities, and therefore voting for a small party can be a waste in national elections, but can lead to representation in certain local councils.

We provide a series of empirical tests that provide support for our view. To do so we employ two original datasets containing aggregate level results from 12 countries and locality level results from four countries (Finland, Netherlands, Portugal, Spain). To causally assess the relationship between government status and performance in local elections we employ difference-in-differences analyses. The tests with the country level data confirm that compared to national elections government parties lose votes in subsequent local elections. This is the first test with election results from multiple countries to confirm the loss. However, the tests cannot confirm the curvilinear relationship following from lack of interest in local elections by government parties that try to conserve political capital for the national contests. Rather, the results suggest that government parties continue to lose popularity throughout their term, and that local election results are reflective of this decreased popularity rather than lack of effort.

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This loss in local elections would likely be similar if national elections took place at the same time.

The interest of government parties in local elections is further confirmed by analyses at locality level. Thus, in each of the four countries under analysis government parties lose votes in local elections, but the loss is mitigated in localities where they control the local councils. In two of the countries (Portugal and Spain) governments do not lose votes in localities with aligned councils. These are the localities where their local campaign efforts (e.g. sending financial resources to aligned councils) are more likely to pay off. We take these results as further evidence that government parties are invested in local elections. Furthermore, the locality-level analyses also find that small parties that are prone to strategic defections by voters in national contests perform better in subsequent local elections, which should further damage the large parties in government; this better performance however, can be primarily attributed to strategic considerations by voters, rather than unstrategic voting. Thus, most of the vote transfer goes to small parties expected to do well in the locality in local elections, but poorly in the national district in national election. This is supported by locality-level analyses in three of the four countries under analysis.

The paper proceeds as follows: the next section familiarizes the reader with the existing literature on government parties' performance in non-national elections, followed by our own view of why government parties should lose votes. This is followed by empirical analyses at both aggregate and local level. The paper ends with concluding remarks.

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2 Government Parties Lose in Unimportant Elections: The Traditional View on Local Elections

The literature on local elections has argued that government parties are expected to perform worse than in national elections (Rallings and Thrasher 2005; Heath et al. 1999; Marien et al. 2015), a theoretical expectation originating in the Second Order Election (SOE) tradition. The term second order was first coined by Reif and Schmitt (1980) to refer to European elections and implies that these elections are (i) less important than the national contests; (ii) still national contests in the sense that voters form their political preferences based on political events taking place at the national level. While written for European elections, the SOE theory has been applied to other non-national contests, as suggested by Reif and Schmitt themselves (1980: 8).

This understanding of non-national elections has led to two main hypotheses about vote results.[2] First, government parties are likely to perform worse than in national elections, and more so when the local elections are placed in the middle of the national electoral cycle. This is when the popularity of the government is the lowest. The assumption here is that governments have a limited number of resources they can use to increase their popularity throughout the term, and they prefer to use them towards the end of the term, leading up to national elections (Miller and Mackie 1973; Tufte 1975).[3] For instance, governments prefer to concentrate their spending on infrastructure projects in election years. From this, it follows that the timing of the second order election within the national electoral cycle matters. Specifically, Reif and Schmitt (1980) argue that the effect of being in the national government should be curvilinear, with government parties performing the worst in non-national elections placed in the

[2]These two expectations are not the only ones coming out of the literature. Second order elections are also likely to lead to lower participation rates, a topic outside of the scope of this paper. Additionally, Reiff and Schmitt (1980) also hypothesized that ideologically extreme parties prosper in European elections, but this hypothesis is about European elections rather than non-national elections at large.

[3]The use of electoral resources can take a positive form as redistributive measures, or negative form as not taking unpopular measures that are necessary in the long run.

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middle of the national electoral cycle, when their popularity is at the lowest. This low point in popularity is in a way manipulated by the government parties, as they conserve political (i.e. taking unpopular but necessary policy decisions in the first part of their term) and financial capital (i.e. redistributive measures) for the last part of the electoral cycle, leading up to re-election. Government parties could spend some of this capital in the non-national elections, but they prefer not to (or spend little), as these elections are unimportant.

Second, because voters do not give much weight to these second order contests, small parties are likely to gain votes (compared to the national contest) at the expense of large parties, a function of non-strategic voting. Strategic voting in national contests disproportionally benefits larger parties. This strategic voting has historically been associated with plurality elections in which supporters of small parties–knowing from previous elections that their party has little chance of getting a plurality of votes in a single member district–give their votes to a larger party that is still ideologically close to their views (Duverger 1959). Strategic voting for larger parties however, happens in proportional elections too, as not all parties on the ballot have a realistic chance to gain representation (either nationally because of thresholds or within the multi-seat district). Even when they do gain representation, small parties tend to gain percentages of seats that are lower than their percentages of votes, whereas the opposite is generally true of large parties. As such, voters of small parties may think that, while their votes may not be entirely wasted, they may have less weight; this in turn should lead to strategic defections to the large parties. These strategic considerations do not happen (at least not to the same extent) in non-national election, as voters feel there is little at stake and so are more likely to vote for the small parties to which they feel affined. It is what Reif and Schmitt (1980) called expressive (voting with their hearts) as opposed to strategic voting.

Therefore, government parties should perform worse in non-national elections first

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because they are in government, and second because they tend to be large. Both of these mechanisms rely on the underlying assumption that local elections are unimportant for national politicians and voters alike.

Studies on European elections have confirmed that government parties perform worse than in national elections, and more so when the European elections are placed at the middle of the electoral cycle; they also found that small parties perform better (Marsh and Mikhaylov 2010; Hix and Marsh 2007; Bellucci 2010; Oppenhuis et al. 1996; Kousser 2004; Marsh 1998, 2005, 2009; van der Eijk et al. 1996; Marsh and Franklin 1996). These relationships have also been confirmed in analyses of regional elections (Schakel 2013; Shackel and Jeffery 2013; Jeffery and Hough 2003 ; Kedar 2006; Lutz Kern and Hainmueller 2006; Rodden and Wobbles 2011; Pallarés and Keating 2003).[4]

Analyses of vote outcomes from local elections have been fewer and based on data from single countries. These studies have confirmed that government parties tend to lose votes in local contests (Ervik 2012 on Norway) and that small parties tend to perform better than in national elections (Delgado 2007 on Spain), but not as well as in European elections (Rallings and Thrasher 2005 on Britain). To our knowledge, multi-country analyses of vote outcomes are lacking, which is a problem since the single-country analyses do not provide conclusive statistical tests as they suffer from small sample sizes.[5]

These sample size constraints have led some to tackle the questions about government parties and small parties with the help of public opinion surveys. In one of the earliest analyses of post local election surveys from Britain, Heath et al. (1999) confirm that in local elections voters are more likely to vote for non-government parties and for small parties than in national contests, though the effect is not as pronounced as in European

[4]Additionally, works that have not used electoral results but opinion surveys or tweets have also confirmed the mechanisms postulated by the SOE theory in both European and regional elections (Clark and Rohrschneider 2009; Hobolt and Spoon 2012; Marsh 2004; Schmitt et al 2009; Boomgaarden et al. 2016; Freire and Santana-Pereira 2015; Hobolt et al. 2009; Schmitt et al 2009; de Vries et al. 2011; Hobolt and Wittrock 2011; Van Aelst and Lefevere 2011; Bouteca et al. 2017).

[5]The findings in the works on local elections discussed here are not based on statistical analyses.

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elections.[6] Looking at French cantonal elections Jérôme and Lewis-Beck (1999) argue that their results reflect to a large extent the popularity of the government parties, an idea touted earlier by Curtice and Payne (1991) in the context of British elections.[7]

An analysis of local elections results from a large number of countries is necessary for a few reasons. First, such an analysis is needed to test the two relationships under scrutiny here (government parties lose votes, small parties gain votes) and to reach definitive conclusions. Second, and more important, such an analysis is needed to test the main hypothesized mechanisms behind the two relationships, lack of interest by the national government parties and by voters. As argued below, we have theoretical reasons to believe these mechanisms are not at play in local elections. In the analyses of European and regional elections the lack of interest by government leaders is reflected in the curvilinear effect, which can only be uncovered with data from multiple countries with different schedules for local elections. Similarly, the gain by small parties, if present, could be a function of strategic voting, as argued below. To uncover such effect, one needs data at the locality level from a large number of elections.

Our analysis with data from a large number of countries will help answer these questions. Below we provide theoretical reasons for why the mechanisms behind the loss by government touted in the literature should not hold in local elections.

3 Important Elections for Politicians and Voters: Why Government Parties Should Actually Lose

The theoretical argument put forward here is that local elections are in fact important for both national politicians and voters, and thus the loss by government parties should have different explanations.

[6] The different nature of local elections led Heath et al. (1999) to call them "one and three quarter order" elections.

[7] Other analyses of public opinion surveys have focused on when voters are more likely to care about local issues and to not follow the prescriptions of the SOE theory (Marien et al. 2015 on Belgium; Cabeza 2018 on Spain).

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Thus, while national politicians may be concerned primarily with re-election and national elections, the scholarship on the distribution of government funds to territories has pointed to a growing interest by national governments in local elections, accompanied by efforts to help candidates aligned with government parties. National governments are more likely to send funds to localities led by members of the government parties to help them in local elections, as these efforts help the government parties in national elections. There are two mechanisms through which this happens. First, as local leaders run under party banners, a good appreciation for their local work leaks into good appreciation for the party they represent, which can prove helpful at national election time (Tavits 2009; Solé Ollé and Sorribas-Navarro 2008; Fouirnaies and Mutlu-Eren 2015; Arulampalam et al. 2009). Second, local leaders are important assets in national campaigns, as they can mobilize supporters and organize campaign events in which their knowledge of the local electorate is of great value (Coman 2018; Diaz-Cayeros and Magaloni 2003; Calvo and Murillo 2004; Brollo and Nannicini 2012; Luna and Mardones 2009; Scheiner 2005). To maintain this mutually beneficial relationship central leaders need to help their own candidates in local elections because: (i) these candidates should be kept happy coming into national elections when they are needed; (ii) having them re-elected is helpful as their contribution in national campaigns is more valuable when in office.

The two mechanisms outlined above set local elections apart from European elections. Thus, voters are generally unaware of the work of their representatives to the European Parliament; furthermore, these representatives are not strongly (if at all) tied to territorial units, and thus they cannot represent the campaign vehicles that municipal leaders do. The two mechanisms can apply to regional elections, but to a lesser extent and contingent on the degree of power devolved to the regional leaders. A minister president of a land in Germany can be evaluated at re-election on their work in the land, and can serve as a rallying weapon for their party in national elections. A

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president of a county council in Romania on the other hand is publicly elected but has neither of the two qualities; the county councils in Romania have fewer attributions, and their presidents are not perceived as well known figures that could significantly influence the results of national elections within their counties. In accord with this view, Schakel and Jeffery (2013) find that in regional elections the curvilinear effect is significantly stronger in regions with little devolution of power.

Government parties should therefore be invested in local elections, and yet they still incur losses (Delgado 2007; Ervik 2012; Heath et al. 1999; Rallings and Thrasher 2005). We argue that the government parties' losses are primarily due to the government's popularity continuing to drop between national elections. This is because government parties always disappoint, as Dunn (2008) has famously argued, because they fail to deliver on their electoral promises. Compromise and therefore, dissatisfaction is, according to Dunn, at the heart of democracy, with no group in the voters winning coalition getting exactly what it wants. As such, any election following the national election that brought a party into government will likely be disappointing. This should be true of local, regional, European but also national elections. The loss of votes in local elections compared to the previous national election may not be different from the loss incurred if instead of local elections the government parties ran in national elections.

We should thus expect government parties to perform worse in subsequent elections compared to national elections simply because government parties tend to disappoint, and thus to lose popularity. However, if the loss is also caused by government parties investing less than in national elections, we should observe a strong curvilinear relationship between the timing of the non-national elections and government performance, which is what the tests with European and regional elections results have found.

The two mechanisms put forward in the spending literature also assume that voters judge their local leaders on their own merits, so that the use of government funds help

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these leaders get re-elected. This is in accord with the view that local elections are not as second order as European or regional, and that local issues still matter (Heath et al. 1999; Marien et al. 2015). Yet the literature has also found that small parties perform better in local elections, and explained this performance through expressive, non-strategic voting in unimportant elections. Here we offer an alternative explanation for why small parties should perform better, an explanation that underlines strategic calculations by voters in elections that actually matter. A small party that is a wild card in national elections may be strong enough in individual localities to gain representation in or even control over the local council. Voters may find that the vote for that party is a waste in national but not in local elections.

To exemplify this mechanism, imagine we have a country with five localities (1 to 5) of equal population, and five parties (A to E) running in both national and local elections. These parties enjoy different levels of popularity across the five localities as in panel A of table 1. We assume for simplicity that voters are fully aware of each party's level of support within their locality and nationally. We also assume that to gain representation both nationally and locally each party must gain 5% of the votes, and that all voters defect from parties that poll less than 5% (based on known popularity levels in panel A); these defections are spread equally among the parties that poll over 5%.

Panel B of table 1 shows what the distribution of votes in national elections would look under the above assumptions. Since none of the two smallest parties (D and E) polls nationally above 5%, they receive no votes, and their supporters spread their votes equally among the three larger parties.

In panel C of table 1 we see the distribution of votes in local elections under the same assumptions. One party in each of localities 1-4 polls under 5%, and thus all other four parties perform slightly better than their popularity levels, as they pick up the defectors from the under 5% party.

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Table 1: Hypothetical Example of Vote Translation of Public Support in National and Local Elections

Panel A: Average Party Support (Percentage)						
Party	Locality 1	Locality 2	Locality 3	Locality 4	Locality 5	National average
A	40	40	35	35	38	37.6
B	35	35	40	40	37	37.4
C	17	17	17	17	17	17
D	6	6	2	2	4	4
E	2	2	6	6	4	4
Panel B: Vote Percent in National Elections						
Party	Locality 1	Locality 2	Locality 3	Locality 4	Locality 5	National average
A	42.66	42.66	37.66	37.66	40.66	40.26
B	37.66	37.66	42.66	42.66	39.66	40.06
C	19.66	19.66	19.66	19.66	19.66	19.66
D	0	0	0	0	0	0
E	0	0	0	0	0	0
Panel C: Vote Percent in Local Elections						
Party	Locality 1	Locality 2	Locality 3	Locality 4	Locality 5	National average
A	40.75	40.75	35.75	35.75	40.66	38.73
B	35.75	35.75	40.75	40.75	39.66	38.53
C	16.75	16.75	16.75	16.75	19.66	17.33
D	6.75	6.75	0	0	0	2.7
E	0	0	6.75	6.75	0	2.7

Most important, in column 7 we have the average national vote support in both local and national elections. While in both types of elections larger parties perform over their absolute level of popularity in panel A, their advantage is more pronounced in national elections. These results are in accord with what the literature has claimed, but in our example are driven by rational expectations by voters, rather than expressive voting.

The 5% threshold may be a real threshold to enter national parliament or local council, or just an evaluation by voters of a party's chances of being in a local council's majority or in central government. What matters is that small parties are less likely to pass this threshold. The assumption that drives the hypothetical results in panels B and C of table 1 is that the support of small parties varies across localities, with parties below the threshold nationally being above the threshold in some localities. This is a reasonable assumption.

In sum, we expect government parties and small parties to perform better in local elections than in national ones, but for reasons other than the fact that these elections

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are unimportant: *government parties should lose because their popularity is likely to drop as they disappoint members in the voting coalition that brought them to power; small parties should gain because voters have strategic incentives to vote for them in local but not in national elections.* Three hypotheses follow:

H1: Government parties lose votes in local elections compared to national elections, but their loss should not be highest at the middle of the national electoral cycle.

H2: Government parties lose votes in local elections, but their loss should be mitigated in localities where they control the local council, as their efforts to help their own candidates should pay off.

H3: Small parties should do better in local elections than in national elections, but their better performance should to a large extent be explained by strategic voting.

In the following section we test these expectations. *H1* will be tested with country-level aggregate data. *H2* and *H3* will be tested with locality level election data from four countries.

4 Data and Results

4.1 Aggregate Level Analyses

To test the main arguments in the literature we put together a dataset of local elections results from 12 EU countries. All EU members were candidates for inclusion in the dataset, but some could not be included for various reasons. First, countries where local elections are staggered were not be included (Austria, Germany, Italy, Malta, United Kingdom). Staggered elections could provide interesting tests at locality level but not at the aggregate level, as one cannot compute average success for a given party at the country level in elections in which a limited number of localities are included.[8]

[8] In theory one could include local elections from a country with staggered elections, which would require computing electoral success in a limited number of localities and comparing this local success with national elections success in the same localities. However, since different regions with different characteristics and regional parties have elections at the same time, the results are likely unreflective of overall national differences.

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Second, local elections from some countries like Cyprus, Estonia, Greece, Hungary, Latvia and Poland do not provide sufficient information to determine the political affiliation of candidates. In these countries most candidates run on independent lists, yet at the local level these lists are known by voters to be associated with parties or party coalitions. From the official results, however, these associations cannot be determined. Third, in Bulgaria and Slovakia parties in local elections tend to form large numbers of local coalitions involving both national and local parties that vary across localities, which makes it impossible to compute votes by individual parties that run in previous national elections. Fourth, following the existing literature on second-order elections (see Marsh 1998) we did not include Sweden, as all local elections in the past three decades took place on the same date as the parliamentary elections. Finally, some local elections results could not be retrieved (Croatia, Luxembourg).

As a general rule, for each country we tried to collect local election results since 1945. The time series for some countries starts later when they become democratic (Czech Republic, Lithuania, Portugal, Romania, Slovakia, Slovenia, Spain); in some instances early election results could not be retrieved (Belgium, France). The final sample reflects these constraints, as documented in Table 2.

Following existing literature on European Elections, we look at the *relative electoral success*, that is the difference between a party's vote percentage in local elections and that party's vote percentage in the previous national elections, and see if this success is related to whether that party is in government. Robustness tests with a measurement of *relative electoral success* that accounts for the size of the party expressed as percent change are reported in Appendix (Table A1 and Figure A1), and confirm the main findings.

We implement a panel difference-in-differences research design, exploiting the fact that each party is observed over multiple local elections. The idea is to compare the differences in vote shares between two elections (local and national) for each party

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Table 2: List of countries included in the aggregate analyses

Country	Included	Time period	Reason for non-inclusion
Austria	No		Staggered
Belgium	Yes	1976-2012	
Bulgaria	No		Different local coalitions
Croatia	No		No election data
Cyprus	No		No election data
Czech Republic	Yes	1990-2014	
Denmark	Yes	1950-2013	
Estonia	No		No election data
Finland	Yes	1953-2017	
France	Yes	1965-2014	
Germany	No		Staggered
Greece	No		No election data
Hungary	No		No election data
Ireland	Yes	1950-2014	
Italy	No		Staggered
Latvia	No		No election data
Lithuania	Yes	1995-2015	
Luxembourg	No		No election data
Malta	No		Staggered
Netherlands	Yes	1946-2014	
Poland	No		No election data
Portugal	Yes	1982-2013	
Romania	Yes	1996-2012	
Slovakia	No		No election data
Slovenia	Yes	1998-2014	
Spain	Yes	1979-2014	
Sweden	No		Identical election date
United Kingdom	No		Staggered

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when they are in the government coalition and when they are not, while differencing out general trends in electoral success. The design washes out time invariant characteristics of a party (size, basic ideology, territorial penetration etc), as well as common shocks affecting all parties in a given election (economic shocks, terrorist attacks, international political events etc).

A difference-in-differences design can capture a causal effect under weaker assumptions than a simple ordinary least squares regression based on cross-sectional data. The main identification assumption is that of parallel trends, which means that the treated and untreated units would have followed the same trend on the dependent variable in the absence of the treatment.

In our case this assumption implies that in a local election a government and a non-government party would display the same difference in votes compared to the previous national elections if none of the two parties were in government. This assumption may be questioned. A party should be more likely to enter government after a successful national election in which it obtained a strong result. As discussed above, the literature on non-national elections has found that small parties gain votes and that–given the zero-sum nature of elections–large parties lose votes. As such, government parties may lose votes in local elections compared to national elections because they are in government, or because they obtained a higher than usual percentage of votes in the national elections. This would violate the parallel trend assumption, as one could argue that a government party would have lost votes in local elections even if it had not been in government simply because in the previous national elections it gained more votes that usual. We want to insulate the effect of being in government from that of being a large party, although, as stated above, both effects should contribute to the fate of government parties. To alleviate these concerns, in all tests of government status we control for the overall vote percentage obtained by each party in the most recent national elections.

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Based on the panel dataset, we use OLS to estimate baseline equations of the following form:

$RelativeSuccess_{pce} = \alpha_{pc} + \delta_{ce} + \beta_1 * GovParty_{pce} + \beta_2 * NatVotes_{pce} + \epsilon_{pce}$ [Eq 1]

where $RelativeSuccess_{pce}$ measures vote change of party p in country c in local election e compared to the previous national election; α_{pc} denotes party fixed-effects that control for time-invariant characteristics of a party; δ_{ce} represent country/ election fixed-effects that control for common shocks affecting all parties in a country at a time of the given local election; $GovParty_{pce}$ is the treatment variable of interest; $NatVotes_{pce}$ is a control of the vote percent obtained by party p in country c in the national elections immediately before local election e.

4.1.1 Results and Interpretation

The main results are reported in table 3 and show that government parties tend to lose votes compared to the previous national elections. Model 1 in Table 3 reports the results from the basic model and shows that when a party enters a local election as a government party, its local electoral performance relative to its national electoral performance is 1.37 percentage points lower than when it enters as an opposition party. Also, in accord with the previous works larger parties (*Previous national votes*) seem to lose votes in local contests.

We hypothesised above that, given the government's interest in local elections, the curvilinear time relationship found in other non-national elections should not hold. The loss, we argued, is likely a function of government losing popularity, because it fails to fulfil its electoral promises. To test this expectation we first interact the main predictor, *government party*, with a variable *national cycle* computed as:

$NationalCycle_e = (Date_e - Date_{pn})/(Date_{fn} - Date_{pn})$ [Eq 2]

where $Date_e$ is the date of the local election under analysis; $Date_{pn}$ is the date of the previous national election; $Date_{fn}$ is the date of the future national election. The

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Table 3: Effect of Government party status on local election performance

Predictors	**M1**	**M2**	**M3**
Government party	**-1.37**	1.15	2.82
	(0.39)	(0.89)	(1.88)
Previous national votes	**-0.52**	**-0.51**	**-0.51**
	(0.05)	**(0.05)**	**(0.05)**
National cycle		-0.77	-0.96
		(7.65)	(26.07)
Government party* national cycle		**-4.82**	-12.94
		(1.52)	(7.13)
National cycle squared			-0.09
			(21.64)
Government party* national cycle squared			7.66
			(6.02)
Observations	1002	1002	1002
Parties	218	218	218
Party Fixed Effects	✔	✔	✔
Country-Election FE	✔	✔	✔

All models are OLS; standard errors are clustered by party and reported in parentheses; Bold coefficients are significant at the .05 level.

subtractions represent the number of days between the pairs of elections. The variable *national cycle* goes between 0 and 1, with lower values meaning that the local elections were closer in time to the previous national elections and further from the next ones.

We run two models of the following form:

$RelativeSuccess_{pce} = \alpha_{pc} + \delta_{ce} + \beta_1 * GovernmentParty_{pce} + \beta_2 * NationalCycle_e + \beta_3 * GovernmentParty_{pce} * NationalCycle_e + \epsilon_{pce}$ [Eq 3]

$RelativeSuccess_{pce} = \alpha_{pc} + \delta_{ce} + \beta_1 * GovernmentParty_{pce} + \beta_2 * NationalCycle_e + \beta_3 * NationalCycle_e^2 + \beta_4 * GovernmentParty_{pce} * NationalCycle_e + \beta_5 * GovernmentParty_{pce} * NationalCycle_e^2 + \epsilon_{pce}$ [Eq 4]

The latter of the two equations includes a squared national cycle term to test the claim that the effect of time is curvilinear and that government parties' losses are greatest in the middle of the electoral cycle.

The results of the difference–in–differences analyses are reported in models 2 and 3

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of Table 3. The results in model 2 of Table 3 suggest that the negative effect of being in government becomes stronger the later the local elections take place in the national electoral cycle. The results in model 3 however, cannot confirm the existence of a curvilinear effect. To further assess this claim, we re-cast the *national cycle* variable as a four-category variable corresponding to time quarters in the electoral cycle, and interact it with the *government party* variable in the main difference-in-differences model. The advantage of this strategy is that it does not assume linearity nor curvilinearity in the effect of *national cycle*. Whereas the difference-in-differences design in model 1 in Table 3 compares the same party in all local elections, contingent on its being in government, the adjusted difference-in-differences accounting for *categorical national cycle* compares the same party with itself in local elections that happen roughly at the same time in the national cycle.

The results graphed in Figure 1 suggest that the passage of time just makes things worse for government parties. Government parties lose the most in local elections the closest these elections are to the next national elections. There is a major drop in local election success between second and third quarter in the electoral cycle, but government parties do not rebound in the fourth quarter. In Appendix I provide additional tests with different divisions of electoral cycle (sixths and thirds) that support the findings.

[Figure 1 around here]

The findings reported in Figure 1 support the view exposed above that the loss incurred by government parties in local elections is just a reflection of the lower popularity of governments that continue to disappoint, with no proof of calculated losses in elections that do not matter. We also claimed that the loss in local elections could be no different from the loss incurred if instead of local elections government parties ran in national ones. To further assess this claim, we transform the difference–in–differences analysis in model 1 of Table 3, by replacing the dependent variable with the difference

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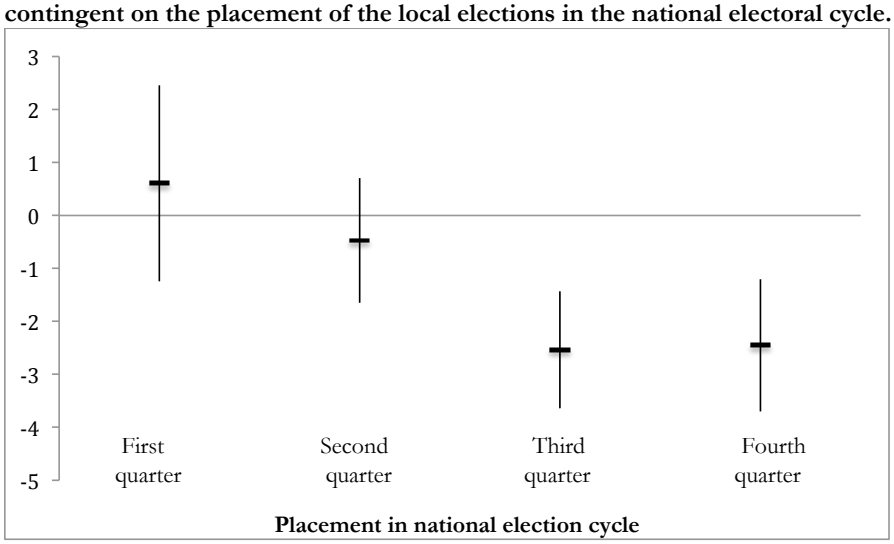
Figure 1: The effect of being a government party on *relative electoral success* contingent on the placement of the local elections in the national electoral cycle.



Note: Error bars delineate the 95% confidence intervals (two-tailed tests); the difference-in-differences estimates are estimated using OLS.

between the vote percent obtained by a party in national elections and its vote percent in the previous national elections. All other regression specifics remain the same as in Table 3. We want to test whether a party is more likely to lose votes compared to the previous national election when entering a national election as government party than when it does not. The results reported in Table 4 confirm our theory: after being in government a party loses on average 2.18 percentage points more in the national re-election than when in opposition. The difference is higher than the one reported for local elections (Model 1 of table 2), which is not surprising given that by definition the following national election comes at the very end of the electoral cycle. Interestingly, this difference is very similar to the loss incurred by government parties in the last part of the national electoral cycle (fourth quarter, Figure 1) in local elections.

To sum up, the differences–in–differences analyses with electoral results aggregated by country confirm *H1*: government parties lose votes in local elections, and more so later in their term. Additionally, we ran the same analyses with different main predictors that indicate whether the party is the *party of the Prime-Minister* or *other coalition party*. The results reported in Appendix (Tables 2 and 3, Figures A2 and

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Table 4: Effect of Government party status on future national election performance

Predictors	
Government party	**-2.18**
	(0.44)
Previous national votes	**-0.53**
	(0.05)
Observations	1202
Parties	208
Party Fixed Effects	✔
Country-Election FE	✔

The model is OLS; standard errors are clustered by party and reported in parentheses; Bold coefficients are significant at the .05 level (two-tailed tests).

A3) confirm the main findings about the cyclical loss of government parties but suggest that the loss is higher for the party of the prime minister. Below we report the results from statistical analyses with local election results at the locality level from Finland, Netherlands, Portugal and Spain.

4.2 Locality level analyses

To further test some of the expectations from the theoretical part, we put together a dataset that includes vote results from all local and national elections in all localities in Finland (1983-2017), the Netherlands (1982-2014), Portugal (2001-2017) and Spain (1986-2011). The choice of countries was driven by the availability of data. The dataset covers a total of 459 localities from Finland (kunta), 711 localities from the Netherlands (gemeente)[9], 336 localities from Portugal (concelho) and 6086 localities from Spain (municipio).[10]

Similarly to the aggregate level analyses, we implement a panel difference-in-differences research design, in which each party within each locality is observed over multiple local

[9]There are currently 380 municipalities in the Netherlands, as their number has continued to drop since 1986. In the analysis however, we include the municipalities that have disappeared, as long as they took part in at least two local elections.

[10]In Spain localities under 250 inhabitants use a different system (open list) from the one in all other localities (closed list). From the electoral results available we could not compute the distribution of seats in local councils in localities under 250. As such, these localities were not included in the analysis.

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elections. The dependent variable is the *relative electoral success* of each party in each locality in each local election. This relative electoral success is computed by subtracting the party's vote percentage in local elections from its vote percentage in the previous national election in each locality. Similarly to the aggregate analyses, we include in the analysis the parties that were on the ballot in the previous national election. In the basic model, we use OLS to estimate baseline equations of the following form:

$$RelativeSuccess_{ple} = \alpha_{pl} + \delta_e + \beta_1 * GovernmentParty_{ple} + \beta_2 * NatVotes_{ple} + \epsilon_{ple}$$

[Eq 5]

where $RelativeSuccess_{ple}$ measures vote change of party p in locality l in local election e compared to the previous national election; α_{pl} denotes locality-party fixed-effects that control for time-invariant characteristics of a party in a locality; δ_e represent election fixed-effects that control for common shocks affecting all parties at the time of a given local election; $GovernmentParty_{ple}$ is the treatment variable of interest; $NatVotes_{ple}$ is a control of the vote percent obtained by party p in locality l in the national elections immediately before local elections e.[11]

Table 5 reports the results from the difference-in-differences analyses of relative electoral success in the four countries. Models 1, 3, 5 and 7 report results from the basic specification in equation 5, and confirm the main finding of the aggregate data. On average, the *relative electoral success* of government parties is .88 percentage points lower than the success of non-government parties in Finland; 3.23 percentage points lower in the Netherlands; 2.54 percentage points lower in Portugal; 2.3 percentage points lower in Spain. Also, in accord with the aggregate-level analyses, larger parties (*previous national votes*) lose more in local elections.

Above we hypothesised that the government's loss in local elections should be smaller in localities with aligned local councils (*H2*). To test this hypothesis we created a

[11] An important predictor in the aggregate analysis was the placement of the local election in the national electoral cycle. Within individual countries however, local and national elections follow roughly the same pattern, and as such local elections tend to be placed at the same place. Therefore in the presence of election fixed effects, the variable *national cycle* is dropped out in Stata analyses.

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Table 5: **Effect of Government party status on local election performance**

	FIN		NET		POR		SPA	
Predictors	**M1**	**M2**	**M3**	**M4**	**M5**	**M6**	**M7**	**M8**
Government party	**-0.88**	**-1.05**	**-3.23**	**-3.78**	**-2.54**	**-4.11**	**-2.30**	**-3.29**
	(0.04)	**(0.07)**	**(0.11)**	**(0.11)**	**(0.46)**	**(0.53)**	**(0.11)**	**(0.11)**
Previous	**-0.58**	**-0.59**	**-0.65**	**-0.71**	**-0.89**	**-0.95**	**-0.31**	**-0.44**
national votes	**(0.01)**	**(0.01)**	**(0.01)**	**(0.01)**	**(0.04)**	**(0.04)**	**(0.01)**	**(0.01)**
Local council control		-0.05		**-0.44**		**-0.29**		**-0.46**
		(0.04)		**(0.05)**		**(0.06)**		**(0.04)**
Government party*		**0.22**		**2.69**		**5.98**		**4.14**
Local council control		**(0.08)**		**(0.16)**		**(0.75)**		**(0.19)**
Observations	39,530	36,572	53,576	44,438	15,755	14,615	393,936	331,811
Parties	9,362	9,351	15,570	15,207	6,908	6,878	184,063	161,061
Party-locality FE	✔	✔	✔	✔	✔	✔	✔	✔
Election FE	✔	✔	✔	✔	✔	✔	✔	✔

Notes: All models are OLS; standard errors are clustered by locality-party and reported in parentheses; Bold coefficients are significant at the .05 level (two-tailed tests).

locality/election- level dichotomous variable, *local council control*, that accounts for whether at the time of the local election the councilmen and councilwomen from government parties form a 50% majority in the local council. We add this variable as an interactive term to the treatment variable in equation 5. The results in table 5 suggest that in all four countries the negative effect of being in government is mitigated by having a local council aligned with the government parties. The marginal effects are graphed in figure 2 and show a stronger effect of local council control in Portugal and Spain than in Finland and the Netherlands respectively. In Portugal and Spain government parties do not, on average, lose votes in localities where the councils are aligned politically. One possible explanation for this difference is the fact that Portugal and Spain have had single-party cabinets for most of the time under analysis, which makes it easier for voters to make the association between the work of local councils and the national parties they represent, in accord with the theory that appreciation for local parties translates into appreciation for their national organisations; this in turn should incentivise central governments to invest more in local elections.

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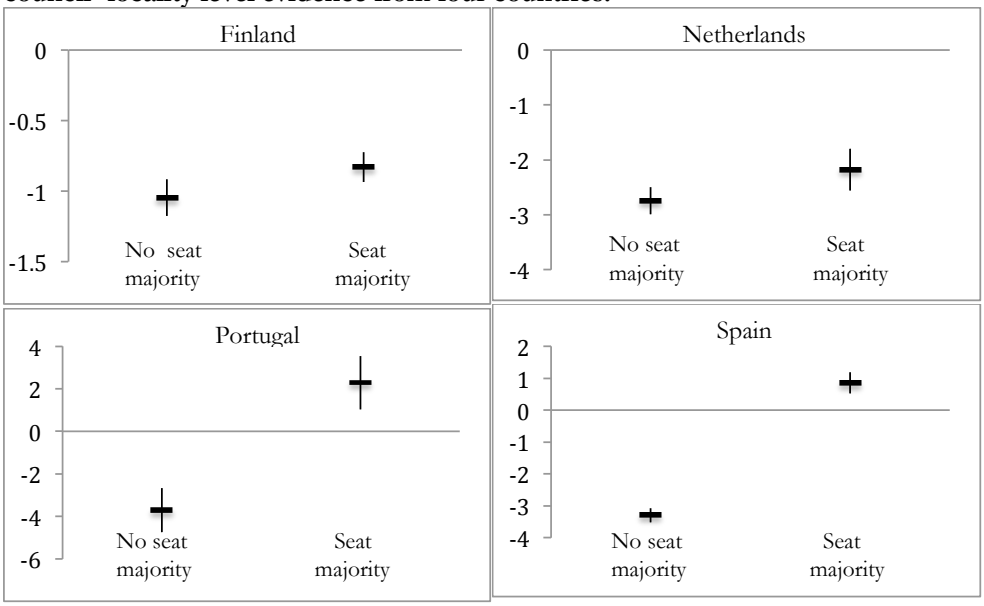
Figure 2: The effect of being a government party on *relative electoral success* contingent on whether the government parties hold a majority of seats in the local council- locality level evidence from four countries.



Note: Error bars delineate the 95% confidence intervals (two-tailed tests); the difference-in-differences estimates are estimated using OLS.

One may argue that the effect of *local council control* may be a consequence of incumbency advantage by the local council majority rather than its interactions with the national government. In Appendix 2 we provide evidence from Spain and Portugal that parties coming into local elections as the majority party in the local council do not perform better than the parties in the minority, contrary to what an incumbency advantage would predict.

4.3 Are Vote Shifts to Small Parties Expressive or Strategic?

We further argued above that the transfer of votes to small parties could be a consequence of strategic voting, as small parties could suffer from wasted vote calculations in national elections but not local elections. To test this wasted vote hypothesis (*H3*) we first need a way to identify/ code the parties that are prone to suffer from strategic defections at the national level.

In the hypothetical example in Table 1 we assumed for simplicity that strategic

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defections only happen when parties are under a certain threshold of popularity (5%), and that voters are fully aware of each party's level of popularity coming into the national elections. In reality both of these assumptions need to be adjusted.

First, voters do not have a precise evaluation of the level of popularity of a party, and even if they did, their final decision is also determined by expectations of how other voters will likely act. Voters however, take cues from previous national elections and thus a good way for a voter to estimate whether a vote for party i in national election at time t may be wasted is the party's performance in national elections at time *t-1*.

Second, the feeling of vote-wasting emerges not only when voting for a party that gains no representation–as in the textbook depiction of plurality elections (see Duverger 1959)– but more generally when voting for parties that gain disproportionally fewer seats than votes. This is especially true of proportional systems like the ones under investigation. To see how this may work in Table 6 we report the results from the 2008 Spanish national elections in the district of Comunidad de Madrid. Only the results for the first five parties (in order of votes) are reported. Of the 35 parliamentary seats assigned to Comunidad de Madrid, 18 went to the Popular Party (PP), 15 to the Socialist Party (PSOE), 1 to the United Left (IU) and 1 to the Union, Progress and Democracy Party (UPyD). The Green Party (LVGV) received .3% of votes but no seats, so its voters probably feel they have wasted their votes. IU and UPyD, on the other hand, receive seats but their percentages of votes are significantly higher than the percentages of seats. Their voters may also think their vote is not worth as much as a vote for PP or PSOE and that they should have voted differently.

To account for this broader understanding of vote waste we code each party in each locality as *prone to strategic defection* coming into the national election at time t (the election included in the computation of *relative success*) if it received a smaller percentage of seats than of votes in the national district in the previous national elections (*t-1*). The *relative success* of these *prone to strategic defection* parties in local elections

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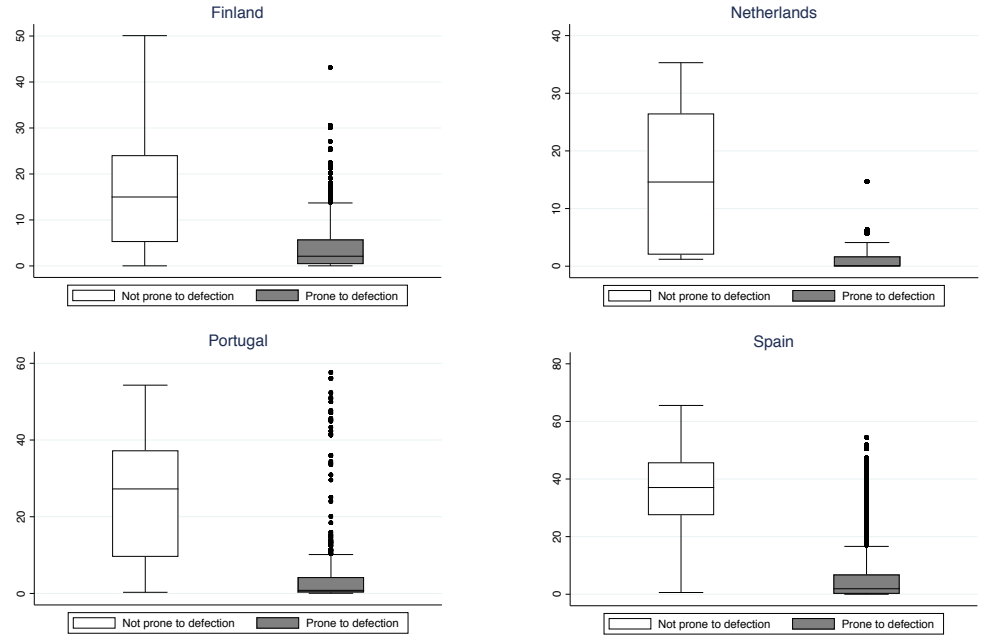
Table 6: The results of the first five parties in order of number of votes in the 2008 national election in Comunidad de Madrid

Party	Vote Percent	Seats	Seat Percent
PP	49.3	18	51.4
PSOE	39.5	15	42.9
IU	4.7	1	2.86
UPyD	3.8	1	2.86
LVGV	.3	0	0

Figure 3: Boxplots with the distribution of the lagged national votes contingent on whether the parties were classified as *prone to defection* or *not prone to defection*.



should be higher, as voters are likely to defect in national but not local elections. In figure 3 we graph the distribution of national votes (y-axis) at the national district level for parties that have been coded as *prone to strategic defection* and parties that have not. As expected, in all four countries our measure of *prone to defection* correlates strongly with the size of the party.

This choice of coding as a dichotomous variable allows us to keep the same difference–in–differences structure from above (Eq. 5), with a different treatment variable. In the basic model, we use OLS to estimate baseline equations of the following form:

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$RelativeSuccess_{ple} = \alpha_{pl} + \delta_e + \beta_1 * Pronetodefection_{pde} + \beta_2 * GovernmentParty_{ple} + \epsilon_{ple}$ [Eq 6]

where $RelativeSuccess_{ple}$ measures vote change of party p in locality l in local election e compared to the previous national election; α_{pl} denotes locality-party fixed-effects ; δ_e represent election fixed-effects; $Pronetodefection_{ple}$ is the treatment variable of interest, coded based on results at the district level in the national election before the one included in the computation of *relative success*;[12] $GovernmentParty_{ple}$ controls for whether the party p was in the national government coalition at the time of the local elections.

We are looking at the *relative success* of the same party within each locality at different elections (local and national), some in which the party has entered the national elections as *prone to defection*, and some in which it has not.[13] We control for *Government party* because, as argued above, there should be a correlation between party size and being in the coalition government.

The results reported in Table 7, Models 1, 3, 5 and 7 confirm that in all four countries parties that are *prone to defection* coming into the national elections perform better in the subsequent local elections. To test whether this loss is related to strategic voting (*H3*) we interact the variable *Prone to defection* with a dummy variable *local seat advantage* that accounts for whether the party has received a higher percentage of seats than votes in the local elections previous to the ones included in the *Relative success* in the individual locality.[14] The logic behind this strategy is as follows: if in a local election voters shift their support to parties deemed *prone to defection* in national elections for strategic reasons, then they should be more likely to do so in localities where these parties are expected to be rewarded with seats in the local council. Put

[12]The national districts are as follows: Finland- 15 constituencies; Netherlands- the entire country; Portugal- 18 districts; Spain- 50 provinces.

[13]For instance, in Spain there were local elections in 2011 and preceding national elections in 2008. The dependent variable in each locality measures the difference in vote percentages between the two. The *prone to defection* variable is computed at district level based on the results of the 2004 national elections.

[14]In the Spanish case discussed in footnote 7 these local elections would be the 2007 local elections.

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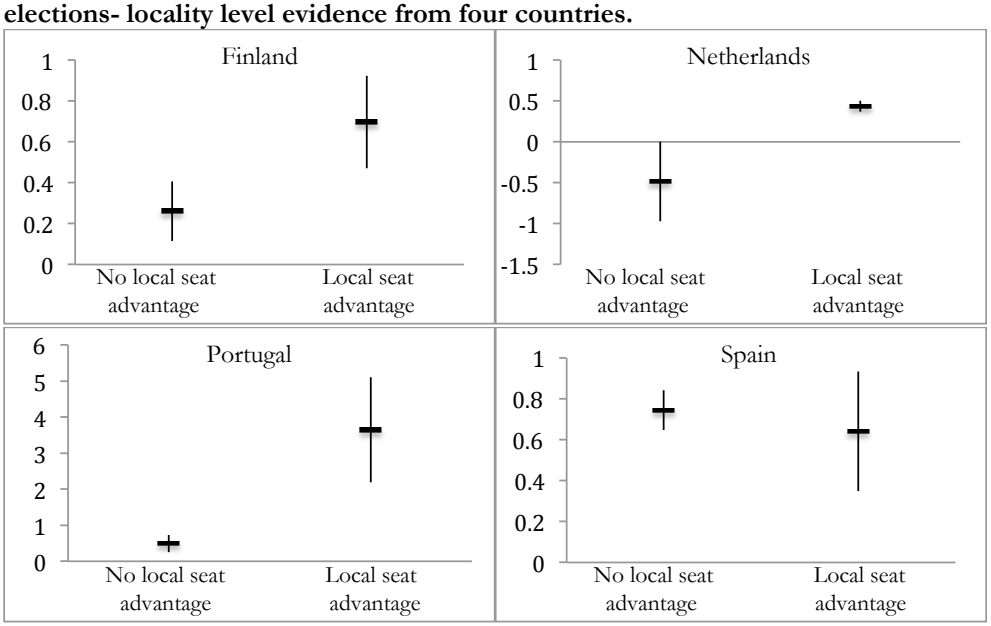
Table 7: Effect of party representation in national parliament on local election performance contingent on local council control

	FIN		NET		POR		SPA	
Predictors	**M1**	**M2**	**M3**	**M4**	**M5**	**M6**	**M7**	**M8**
Prone to defection	**0.54**	**0.29**	**0.15**	**-0.78**	**0.63**	**0.27**	**0.71**	**0.75**
	(0.04)	**(0.07)**	**(0.04)**	**(0.19)**	**(0.13)**	**(0.11)**	**(0.05)**	**(0.05)**
Local seat advantage		**-0.34**		**-0.65**		**1.92**		**0.59**
		(0.08)		**(0.10)**		**(0.60)**		**(0.12)**
Prone to defection*		**0.44**		**1.02**		**3.08**		-0.10
Local seat advantage		**(0.14)**		**(0.20)**		**(0.72)**		(0.15)
Government party	**-2.50**	**-2.51**	**-8.50**	**-8.51**	**-9.69**	**-9.69**	**-4.31**	**-4.35**
	(0.07)	**(0.07)**	**(0.12)**	**(0.12)**	**(0.42)**	**(0.42)**	**(0.09)**	**(0.10)**
Observations	36,572	36,572	48,127	48,127	14,615	14,615	331,811	331,811
Parties	9,351	9,351	15,565	15,565	6,878	6,878	161,061	161,061
Party-locality FE	✔	✔	✔	✔	✔	✔	✔	✔
Election FE	✔	✔	✔	✔	✔	✔	✔	✔

Notes: All models are OLS; standard errors are clustered by locality-party and reported in parentheses; Bold coefficients are significant at the .05 level (two-tailed tests).

Figure 4: The effect of being a *prone to defect* party on *relative electoral success* contingent on whether the party has a *local seat advantage* coming into the local elections- locality level evidence from four countries.



Note: Error bars delineate the 95% confidence intervals (two-tailed tests); the difference-in-differences estimates are estimated using OLS.

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differently, the *Relative success* of a party is highest when its voters expect to: (1) waste their votes in national elections (based on district results in previous national elections); (2) not waste their vote in local elections (based on locality results in previous local elections).

The results of the interactive models in table 7 (M2, M4, M6, and M8) show that in three countries (Finland, Netherlands, and Portugal) the effect of being *prone to defection* is contingent on *local seat advantage*. The marginal effects of *prone to defection* contingent on *local seat advantage* are graphed in Figure 4. In the Netherlands, parties that are *prone to defection* perform better in local elections only in localities where they have had a seat advantage in the previous local elections. In Finland and Portugal we see traces of expressive voting within the *prone to defection* camp (vote transfer in localities with no *local seat advantage*), but the *relative success* grows significantly higher in localities where voters expect the parties to gain more seats than votes.

How important are these local strategic considerations in determining the final outcome? How much of the aggregate results showing small parties performing better in local elections are attributable to expressive voting and how much to strategic behaviour? The answer to this question depends on both the size of the interactive effect and the incidence of *local seat advantage* in each of the three countries. A good way to estimate this effect is to compare the average effect of being *prone to defection* in the three countries (M1, M3, and M5) to the effect in localities with no *local seat advantage* coming into the local elections (M2, M4, and M6). When the localities coded as having local seat advantage are included, the effect grows by 86% in Finland (.29 to .54) and by 133% in Portugal (.27 to .63). The strongest effect is in the Netherlands, where in localities with no *local seat advantage* the parties that are *prone to defection* in national elections do not increase their vote share in local elections.

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5 Concluding Remarks

This paper challenges the classical view that government parties lose votes in local elections because they are unimportant to both politicians in national government and voters. The lack of interest by national politicians means they do not invest much in these contest; the lack of interest by voters means they are more likely to vote with their hearts, which likely harms government parties.

The empirical tests reported here confirm both relationships–being in government causes losses in local elections, and small parties gain votes in local elections–but question the mechanism behind these relationships, namely the lack of interest.

The paper underlines the unique character of local elections and leaders by comparison to other officials elected in non-national elections. As well known political figures within their localities, mayors and local council leaders can build individual reputations and strong party organisations. A mayor of a village can easily change their political affiliation if unsatisfied with their central party leadership and drag with them other members of the local council as well as voters. As a well-known figure in a small district, the mayor's chances of re-election may not be affected. This individual reputation within the district does not apply to members of European Parliament or regional leaders; at least not to the same extent. What makes the situation of local leaders unique is the smaller size of the district as well as the degree of influence in the day-to-day lives of constituents.

This unique status of local leaders influences the actions of both government leaders and voters. Government leaders do invest in local elections and try to help out local councils that are politically affiliated through the allocation of funds. This funds targeting at locality level, while traditionally associated with the developing world, happens in European countries, as Coman (2015; 2020) has demonstrated. Given this interest in local elections, we find the performance of government parties in local elections is

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not significantly different from what their performance would be if they ran in national elections at the same time. The assumption that national leaders do not spend their limited political capital on local elections does not hold. Also, we find that the loss by government parties is mitigated in localities with local councils that are politically aligned, likely a function of their investment in local elections.

Voters are also invested in local elections, which means that the vote gain of small parties should not be associated with expressive/ unstrategic voting. We find that most of the gain is explained by strategic choices by voters who expect the small parties to do well in their locality, but not in their national election district. The fact that municipalities are smaller population units than the districts in all other elections allows for small parties to easily build large coalitions of voters that allow them to gain representation, something that is more difficult at the larger national district level.

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Unimportant Contests? Why Government Parties Lose Votes in Local Elections

Supplemental Information

February 29, 2024

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Contents

0.1 Appendix A1: Additional tests with aggregate data

Table 1: The effect of government party status on local election performance; aggregate models with the dependent variable adjusted for party size.

Predictors	**M1**	**M2**	**M3**
Government party	**-0.13**	0.10	-0.04
	(0.05)	(0.08)	(0.18)
Previous national votes	**-0.03**	**-0.03**	**-0.03**
	(0.01)	**(0.01)**	**(0.01)**
National cycle		1.18	-7.25
		(1.45)	(5.38)
Government party* national cycle		**-0.45**	0.26
		(0.16)	(0.85)
National cycle squared			5.56
			(4.46)
Government party* national cycle squared			-0.67
			(0.87)
Observations	1002	1002	1002
Parties	218	218	218
Party Fixed Effects	✔	✔	✔
Country-Election FE	✔	✔	✔

All models are OLS; standard errors are clustered by party and reported in parentheses; Bold coefficients are significant at the .05 level. The dependent variable is expressed as *(Local percent-National percent)/National percent.)*

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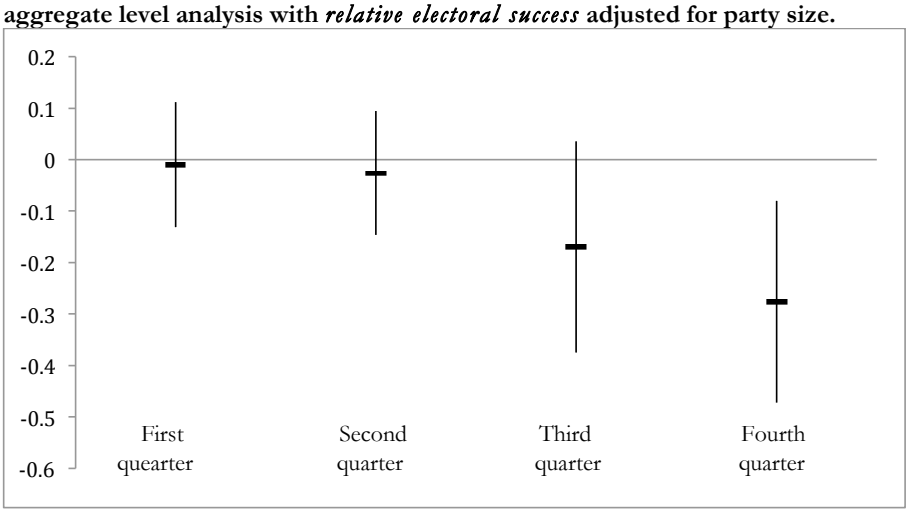
Figure A1: The effect of being a government party on *relative electoral success* contingent on the placement of the local elections in the national electoral cycle-aggregate level analysis with *relative electoral success* adjusted for party size.



Note: Error bars delineate the 95% confidence intervals (two-tailed tests); the difference-in-differences estimates are estimated using OLS.

Table 2: The effect of government party status on local election performance; government party coded as the party of the prime minister.

Predictors	**M1**	**M2**	**M3**
Government party	**-1.95**	-0.77	-0.91
	(0.74)	(0.72)	(0.72)
Previous national votes	**-0.53**	**-0.50**	**-0.50**
	(0.05)	**(0.05)**	**(0.05)**
National cycle		-2.05	-0.21
		(6.44)	(24.04)
Government party*		**-3.38**	-0.94
national cycle		**(0.69)**	(1.85)
National cycle squared			-0.97
			(19.70)
Government party*			-3.11
national cycle squared			(2.49)
Observations	1002	1002	1002
Parties	218	218	218
Party Fixed Effects	✔	✔	✔
Country-Election FE	✔	✔	✔

All models are OLS; standard errors are clustered by party and reported in parentheses; Bold coefficients are significant at the .05 level.

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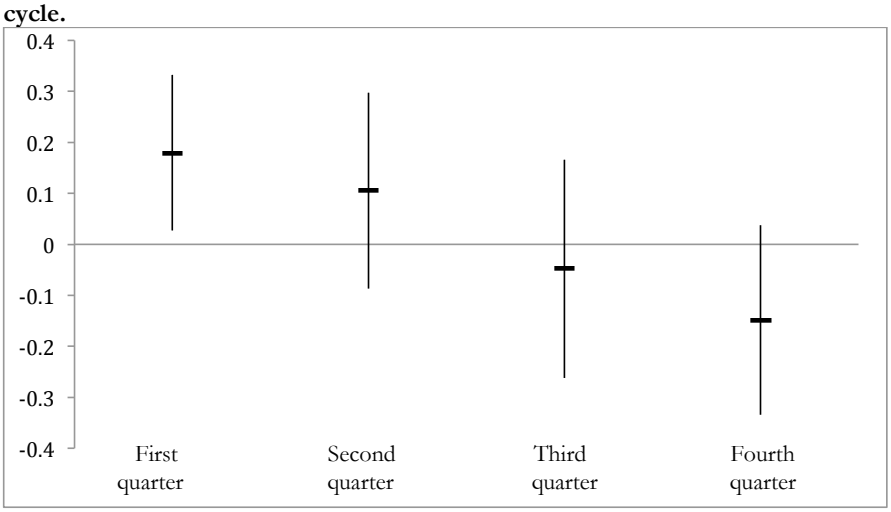
Figure A2: The effect of being the Prime Minister's party on *relative electoral success* contingent on the placement of the local elections in the national electoral cycle.



Note: Error bars delineate the 95% confidence intervals (two-tailed tests); the difference-in-differences estimates are estimated using OLS.

Table 3: The effect of government party status on local election performance; government party coded as a government coalition party other than the party of the PM.

Predictors	**M1**	**M2**	**M3**
Government party	**-0.82**	**1.13**	1.16
	(0.33)	**(0.55)**	(0.68)
Previous national votes	**-0.59**	**-0.50**	**-0.50**
	(0.04)	**(0.04)**	**(0.05)**
Observationsational cycle		-1.69	0.00
		(6.63)	(23.89)
Government party* national cycle		**-4.75**	-5.02
		(1.01)	(3.09)
National cycle squared			-1.14
			(19.58)
Government party* national cycle squared			0.32
			(3.25)
Observations	1002	1002	1002
Parties	218	218	218
Party Fixed Effects	✔	✔	✔
Country-Election FE	✔	✔	✔

All models are OLS; standard errors are clustered by party and reported in parentheses; Bold coefficients are significant at the .05 level.

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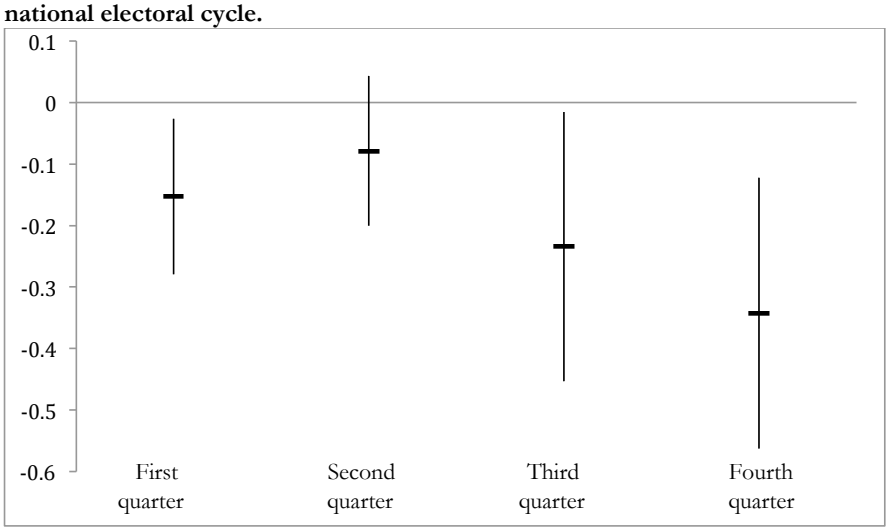
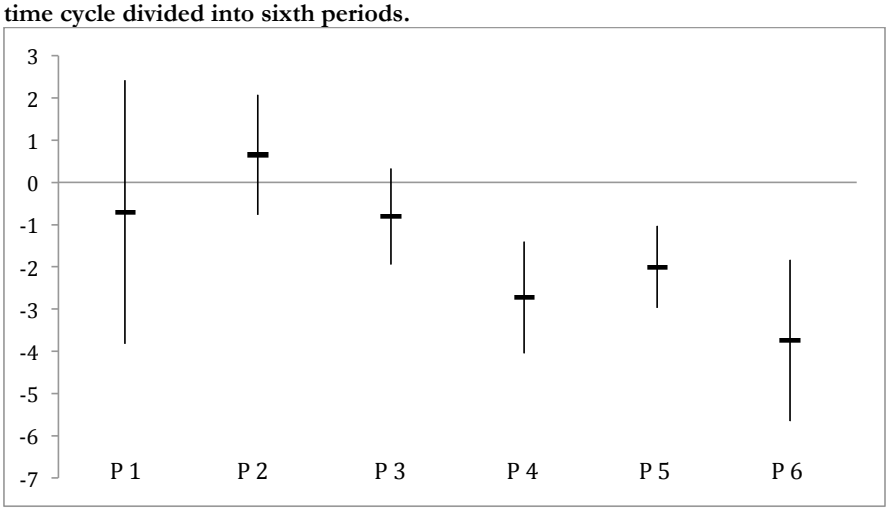
Figure A3: The effect of being a government party *other than the PM's party* on *relative electoral success* contingent on the placement of the local elections in the national electoral cycle.



Note: Error bars delineate the 95% confidence intervals (two-tailed tests); the difference-in-differences estimates are estimated using OLS.

Figure A4: The effect of being a government party on *relative electoral success* contingent on the placement of the local elections in the national electoral cycle-time cycle divided into sixth periods.



Note: Error bars delineate the 95% confidence intervals (two-tailed tests); the difference-in-differences estimates are estimated using OLS.

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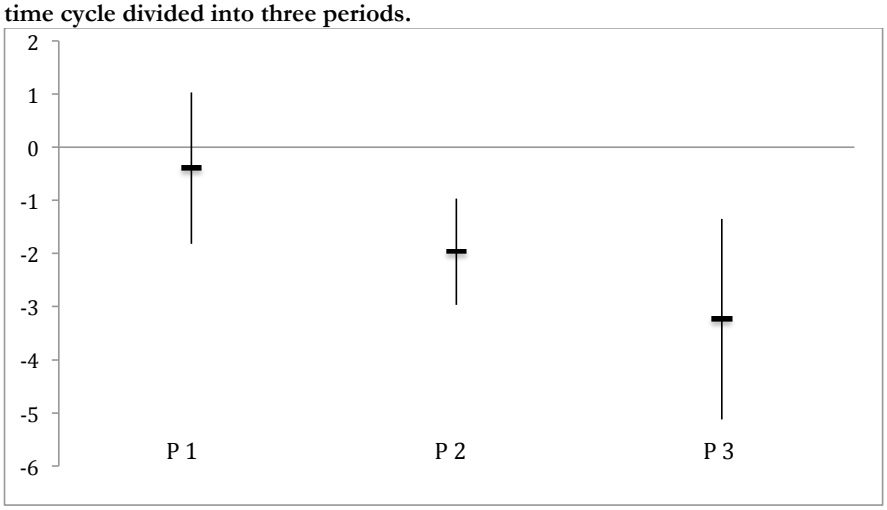
Figure A5: The effect of being a government party on *relative electoral success* contingent on the placement of the local elections in the national electoral cycle-time cycle divided into three periods.



Note: Error bars delineate the 95% confidence intervals (two-tailed tests); the difference-in-differences estimates are estimated using OLS.

0.2 Appendix A2: The incumbency advantage in local council elections

The locality level analyses found that the government loss in local elections is mitigated in localities where the government parties hold a majority of seats in the local council. This was in accord with the theoretical claim that national governments are invested in local elections and thus try to influence them through the diverting of funds. However, this effect may also be a consequence of incumbent advantage in local elections: government parties perform better in councils where they have a majority because incumbents are advantaged regardless of their relationship with the national government. To test the incumbent advantage we should look at the local performance of all incumbent coalitions in local elections, regardless of whether these local coalitions control the national government or not. The problem with this approach is that in multi-party systems, like Finland or the Netherlands, one cannot know what coalitions form in local councils, other than the coalitions that are in the national government. If the coalition of parties in national government does not have a majority in a local council, from the electoral results one cannot say which coalition of parties actually forms a majority in the local council, and thus could be subject to incumbent advantage.

To overcome this issue the tests provided here focus on the two main parties in Portugal and Spain respectively. Both of these countries have two main parties–PSOE and PP in Spain and PS and PPD

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in Portugal–that are big enough to form governments alone. The tests provided here look at whether these parties perform in a local election at time *t* better or worse than in the previous local election at *t-1*, contingent on whether they have a majority of seats in the local council coming into the election at *t*. The dependent variable is the difference in votes, and the models are differences-in-differences in which the same party is analysed in each local election contingent on its status as a majority or minority party in the local council.

The results of the diff-in-diff analyses reported in Table 4 find that, in accord with the findings on the fate of government parties in national elections reported in the main paper, incumbent parties do not do better in local elections, but they actually lose votes. .

Table 4: The effect of incumbency on local election performance

Predictors	**POR**	**SPA**
Incumbency	**-8.64**	**-7.09**
	(1.14)	**(0.20)**
Government party	0.41	**-3.02**
	(0.65)	**(0.11)**
Observations	1,498	47,861
Parties	606	10,761
Party-locality F E	✔	✔
Election FE	✔	✔

All models are OLS; standard errors are clustered by party and reported in parentheses; Bold coefficients are significant at the .05 level.

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